

TAX TREATMENT

The biggest surprise of the Budget was, however, the decision to keep tax rates unchanged, leaving any review for the full Budget in July. While this is in line with precedence, as the Interim Budget traditionally does not introduce any major changes in tax policy, expectations were rife given what was done in the last Interim Budget in 2018-19, which promised that income tax would not be levied on income up to ₹5 lakh.

Revenue Secretary Sanjay Malhotra points out that the income tax rate was re-jigged in the Union Budget of FY24 with no tax on income till ₹7 lakh per annum. "It's not fair to expect changes in tax rates too frequently. And there is merit, beauty, stability, and simplicity in stable tax rates. Also, rates for personal income tax were revised only last year, and this is too short a period to actually even evaluate the impact of those changes, review them, and further make any changes," he says. A review of customs duty tariffs will be taken up in the full Budget in July after stakeholder consultations, he adds.

Further, with high inflation, especially rising food prices, pinching pockets and signs of rural distress, there were expectations that the Interim Budget would give some push to consumption.

Anantha Nageswaran points out that the Pradhan Mantri Garib Kalyan Anna Yojana, the free foodgrain distribution scheme, has already been extended by five years, while cash transfers through various schemes such as the Mahatma Gandhi National Rural Employment Guarantee Scheme and PM Kisan Samman Nidhi, under which farmers are given income support, continue.



"Over the last few years, [we have] made a lot of effort to develop [taxpayer] confidence... The taxpayer, too, is reciprocating, complying with tax laws"

NITIN GUPTA
CHAIRMAN, CBDT



"The tax buoyancy of GST is around 1.1... that gives us confidence that we will be able to collect the GST revenue as per the target"

SANJAY KUMAR AGGARWAL
CHAIRMAN, CBIC

"But this is a direct route to putting cash in the hands of the people. This is a fiscal stimulus and can lead to a higher money supply. Instead, we can try to create conditions for employment generation, income growth, and, therefore, consumption growth, which is an indirect route," he says.

"It is okay to try and boost consumption for one year or two years through these methods, but they can lead to high inflation, which will then affect the purchasing power of households. We are actually planning and executing for medium-term sustainable growth," he underlines.

The full Budget in July may choose to take up some of these themes and review projections for growth, tax collections, and sectoral allocations based on the global and domestic macroeconomic situation at that time. Long-pending proposals, such as a review of the complex capital gains tax regime and a review of customs duty tariffs, may also be taken up. What would really please trade and industry, as well as taxpayers, would be the rationalisation of tax slabs under the goods and services tax.

The finance ministry's White Paper on the Economy highlighted the NDA government's achievements in the last decade that has turned the economy from one of the "fragile five" to the "top five" in the world. The government hopes to build on these reforms in the next 25 years.

For now, the Interim Budget has given a peek into what might be taken forward in the full Budget four months down the line. Of course, that will have to wait for the elections. **BT**

@surabhi_prasad